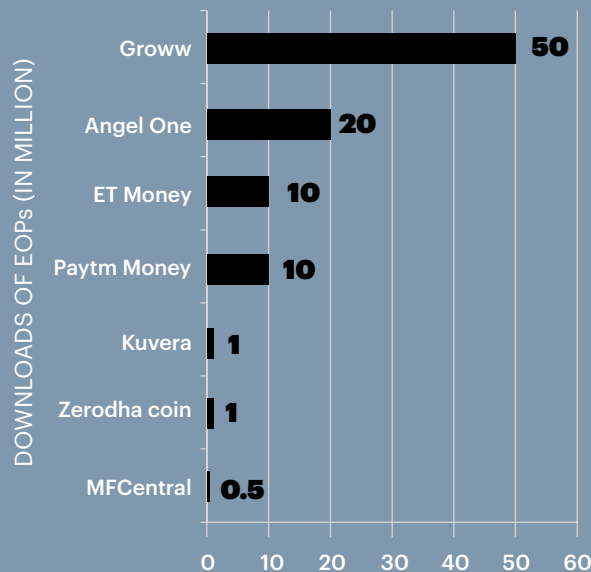


STATUS CHECK

- > EOPs have become the most popular category of investing apps in a short period of time
- > Groww, the most downloaded app, has 50 million downloads, whereas MFCentral, the least downloaded app, has only 0.5 million



SOURCE BT RESEARCH

EOPs are now regulated by the stock exchanges through self-regulatory organisations (SROs) like the BSE Administration and Supervision Limited (BASL).

Amol Joshi, Founder of Amfi-registered MF distributor Plan Rupee, says, “MFs’ units are not the apps’ assets. Units belong only to investors and are allotted or debited (during purchase and redemption by RTAs of MFs). Such RTAs are regulated by Sebi, and fees are specified by Amfi.”

So how do these apps charge investors? Most of them provide direct MF plans and aren’t allowed to take any commission from fund houses. Additionally, Sebi has categorised EOPs into two groups: EOP1 and EOP2.

According to Sebi, EOP1 apps will act as mutual fund agents and integrate their systems with AMCs and/or RTAs authorised by such AMCs. EOP2 apps will act as stockbrokers and will need to get registered as stockbrokers under the EOP segment of exchanges.

Unfortunately, many investment apps don’t advertise their EOP category publicly. To remove confusion among investors, regulators should ask apps to mention their category—EOP1 or EOP2—upfront.

“If they work as EOP1, they are entitled to get a tiny charge of ₹1-2 per transaction from AMCs. If they work as EOP2, then these platforms can charge clients a fee for facilitating direct plan execution,” says Gang. Adding to

that, Joshi says the EOP2 category is permitted only to charge on-boarding fees and a flat transaction fee. There are no hidden fees or commissions.

LESSONS TO LEARN

Selecting an investment app goes beyond just picking a user-friendly interface. The classification under the EOP framework can impact returns. While one needs to be aware of gamification, one should also remember that these apps allow one to just transact in direct MF plans without offering investment advice.

The EOP categorisation helps understand potential fee structures, but it’s not the only factor investors should consider. They shouldn’t solely rely on the EOP apps to track their entire MF portfolio. They should essentially request monthly CAS reports.

A CAS report, sent every month by CAMS or the National Securities Depository Ltd on a registered email address, offers an overview of investments.

By understanding EOP categories and utilising CAS reports, one can navigate investment apps with greater confidence.

You must also select an app with a strong record of cybersecurity. Look for information on their security measures. Phishing emails or websites can try to trick you into revealing your login credentials for the EOP. Be cautious of suspicious emails and only access your EOP account through the official website.

“We are continuously audited by a CERT-in-empanelled cybersecurity auditor who has also given us a certification, in line with Sebi guidelines. Investors should stay away from entities that are not Sebi-registered stock brokers,” says Nyati.

However, Maheshwari says, “Data breaches and account hacking are a reality. The apps are reasonably secure, but precautions are the user’s responsibility.” She adds that it’s up to investors to not share passwords, to create strong passwords, change them regularly, keep an eye on transactions, report any suspicious activity, and keep separate accounts with limited funds for this activity, and not use public networks for transactions.

It’s crucial for you to conduct your own research and ensure that these platforms are regulated.

Nyati says all entities are required to send daily transactions to the respective investor on a registered email address. “Investors should always check their transaction statements,” says Nyati. As the investing scenario burgeons in the country, it is important to not get dissuaded by the vagaries of the apps. By maintaining a healthy dose of caution, one can use EOPs to build their portfolio without much apprehension. **BT**

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